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RECASTED FINANCIAL STATEMENT

BrightPath Home Care Services

Normalized SDE / EBITDA Analysis

Entity Type: LLC

Fiscal Periods Covered: 3

CONFIDENTIAL

- CAPITAL
- GROWTH
- STRATEGY
- MARKET LEADERSHIP

Prepared: September 1, 2026

EZ Business Advisors

Recast Summary

Metric	Average
Average SDE (Seller's Discretionary Earnings)	\$359,033
Average EBITDA	\$294,133

Earnings Trend

Earnings trended upward over the period: revenue grew at a 9.1% compound annual rate and normalized SDE at 15.0% per year, reflecting genuine operating momentum rather than accounting adjustments.

Period Overview

Metric	FY2024	FY2025	FY2026
Revenue	\$1,187,000	\$1,296,000	\$1,412,000
As-Reported Net Income	\$212,000	\$248,000	\$278,000
Total Add-backs	+\$95,100	+\$115,800	+\$128,200
Recast SDE	\$307,100	\$363,800	\$406,200
Recast EBITDA	\$245,600	\$299,000	\$337,800

Quality of Earnings

High-quality earnings profile: 84% of add-backs in the latest year are recurring owner-specific or non-cash items (owner comp, benefits, D&A). These are standard, defensible adjustments — a buyer's lender will typically accept them when the underlying records support them.

Add-back mix (latest year): 84% recurring / 16% one-time & discretionary — full itemized justifications follow in the Add-Back Justification section.

Before vs After — Recast Comparison

Metric	FY2024	FY2025	FY2026
Revenue	\$1,187,000	\$1,296,000	\$1,412,000
As-Reported Net Income	\$212,000	\$248,000	\$278,000
+ Total Add-backs	+\$95,100	+\$115,800	+\$128,200
Recast SDE	\$307,100	\$363,800	\$406,200
Recast EBITDA	\$245,600	\$299,000	\$337,800

Add-Back Detail

FY2024 — Total Add-backs: \$95,100

- Owner Salary & Wages+\$42,000
- Owner Benefits (health, retirement, auto)+\$19,500
- Depreciation+\$19,000
- Discretionary / Non-essential+\$8,200
- One-time / Non-recurring+\$6,400

FY2025 — Total Add-backs: \$115,800

- Owner Salary & Wages+\$44,000
- Owner Benefits (health, retirement, auto)+\$20,800
- Depreciation+\$21,000
- Discretionary / Non-essential+\$8,900
- One-time / Non-recurring+\$7,100
- Non-arm's-length Payments+\$14,000

FY2026 — Total Add-backs: \$128,200

- Owner Salary & Wages+\$46,000
- Owner Benefits (health, retirement, auto)+\$22,400
- Depreciation+\$24,000
- Discretionary / Non-essential+\$9,600
- One-time / Non-recurring+\$11,200
- Non-arm's-length Payments+\$15,000

Multi-Year Trend Analysis

Earnings trended upward over the period: revenue grew at a 9.1% compound annual rate and normalized SDE at 15.0% per year, reflecting genuine operating momentum rather than accounting adjustments.

Metric	FY2024	FY2025	FY2026
Revenue	\$1,187,000	\$1,296,000	\$1,412,000
YoY Revenue Growth	—	+9.2%	+9.0%
Recast SDE	\$307,100	\$363,800	\$406,200
YoY SDE Growth	—	+18.5%	+11.7%
SDE Margin	25.9%	28.1%	28.8%
EBITDA Margin	20.7%	23.1%	23.9%

Quality of Earnings

High-quality earnings profile: 84% of add-backs in the latest year are recurring owner-specific or non-cash items (owner comp, benefits, D&A). These are standard, defensible adjustments — a buyer's lender will typically accept them when the underlying records support them.

Add-back mix (latest year): 84% recurring / 16% one-time & discretionary (recurring \$107,400).

Add-Back Justification

Each add-back applied in this recast is listed with its justification, consistent with standard business-brokerage normalization practice. Buyers and lenders are encouraged to verify each item against source records during due diligence.

Depreciation

Depreciation is a non-cash expense that does not represent an ongoing cash outflow. It is added back to reflect the cash earnings power of the business; capital expenditures are accounted for separately in the buyer's own replacement-cost analysis.

Discretionary / Non-essential

Discretionary expenses (entertainment, travel, conventions, club memberships, charitable gifts, and other non-essential costs) are at the discretion of the owner and are not required to operate the business. They are added back as owner-specific, non-essential spending.

Non-arm's-length Payments

Payments to related parties (family members, affiliated entities) above fair market value are non-arm's-length and are added back to reflect what an independent operator would pay for the same goods or services.

One-time / Non-recurring

One-time, non-recurring items (legal settlements, one-off consulting, relocation, start-up costs, COVID-related expenses, unusual repairs) do not reflect the sustainable earnings of the business and are added back.

Owner Benefits (health, retirement, auto)

Owner benefits (health insurance, retirement contributions, vehicle, life insurance, and other perquisites) are personal to the current owner and do not transfer to a new owner at the same level. They are added back as non-operating owner-specific costs.

Owner Salary & Wages

Owner compensation above the market rate for a replacement manager is added back because the going-concern value is based on the earnings a non-operating (or replacement-managed) owner would realize. The add-back reflects the excess of reported owner pay over the arms-length cost of a general manager.

Disclaimer: This recast is an estimate prepared for business-valuation purposes and may not reflect GAAP financial statements. Add-backs are subject to buyer and lender verification. Figures include owner compensation, non-recurring, discretionary and non-arm's-length adjustments as standard industry practice for SDE/EBITDA normalization.